

ESCALATION & INCIDENT MANAGEMENT POLICY

Document Title: Escalation & Incident Management Policy

Review Frequency: Annual or Following Major Incident Events

1. PURPOSE

The purpose of this policy is to establish a structured framework for identifying, classifying, managing, escalating, resolving, documenting, and reviewing operational incidents affecting customers, business operations, logistics, technology platforms, financial processes, and regulatory compliance.

This policy ensures:

- Consistent incident handling.
- Timely issue resolution.
- Clear ownership and accountability.
- Effective communication.
- Risk mitigation.
- Regulatory compliance.
- Continuous operational improvement.

2. SCOPE

This policy applies to:

- Customer support operations
- Order fulfillment operations
- Logistics and delivery operations
- Warehouse operations
- Payment systems
- Refund operations
- Marketplace seller operations
- Technology infrastructure
- AI-powered automation systems
- Third-party service providers

The policy covers incidents from detection through closure and post-incident review.

3. POLICY OBJECTIVES

The organization shall:

- Minimize customer impact.
- Reduce operational disruption.
- Ensure rapid escalation of critical issues.
- Maintain service continuity.
- Improve root cause visibility.
- Support automated incident management systems.
- Maintain auditable incident records.

4. DEFINITIONS

Incident

Any event causing disruption, degradation, failure, policy violation, or customer impact.

Escalation

The transfer of ownership or authority to a higher support, management, or executive level.

Major Incident

An incident causing significant customer, operational, financial, or reputational impact.

Severity

A classification indicating incident impact and urgency.

Root Cause Analysis (RCA)

The formal investigation process used to determine the underlying cause of an incident.

Incident Commander

The individual responsible for coordinating resolution activities during a major incident.

5. INCIDENT CLASSIFICATION

Incidents shall be categorized as follows:

Customer Service Incidents

Examples:

- Complaint escalations
- Unresolved support requests
- Negative customer experience events

Logistics Incidents

Examples:

- Delivery failures
- Lost shipments
- Carrier disruptions
- SLA breaches

Refund Incidents

Examples:

- Refund processing failures
- Duplicate refunds
- Delayed reimbursements

Technology Incidents

Examples:

- System outages
- API failures
- Database failures
- Authentication issues

Financial Incidents

Examples:

- Payment processing failures
- Settlement discrepancies

- Chargeback anomalies

Compliance Incidents

Examples:

- Regulatory violations
- Audit findings
- Privacy breaches

6. SEVERITY MATRIX

P1 – Critical

Impact

- Complete business disruption
- Major revenue loss
- Regulatory exposure
- Widespread customer impact

Examples

- Checkout system outage
- Platform unavailable
- Large-scale payment failure

Escalation

Immediate executive involvement required.

P2 – High

Impact

- Significant operational disruption
- Multiple customers affected

Examples

- Warehouse outage
- Carrier network failure

- Refund processing backlog

Escalation

Operations leadership involvement required.

P3 – Medium

Impact

- Limited operational impact
- Small customer group affected

Examples

- Individual seller issues
- Isolated API degradation

Escalation

Department management review required.

P4 – Low

Impact

- Minimal business impact

Examples

- Cosmetic UI issue
- Minor reporting discrepancy

Escalation

Handled by operational teams.

7. ESCALATION LEVELS

Level 1 – Frontline Operations

Responsibilities:

- Initial investigation
- Customer communication
- Incident documentation

Target Resolution:

- Within assigned SLA

Level 2 – Team Lead / Supervisor

Responsibilities:

- Incident review
- Resource allocation
- Operational intervention

Escalation Trigger:

- Resolution exceeds Level 1 SLA

Level 3 – Department Manager

Responsibilities:

- Cross-functional coordination
- Risk assessment
- Strategic decisions

Escalation Trigger:

- Significant operational impact

Level 4 – Executive Leadership

Responsibilities:

- Executive decision-making
- External communication approval
- Crisis management

Escalation Trigger:

- Critical incidents (P1)

8. CUSTOMER ESCALATION RULES

Cases shall be escalated when:

- Customer requests supervisor review.
- Multiple unresolved contacts occur.
- Complaint remains unresolved for 24 hours.
- Customer threatens legal action.
- High-value customer involved.
- VIP customer affected.

Priority handling is required for strategic accounts.

9. OPERATIONAL ESCALATION RULES

Operational incidents shall be escalated when:

- Resolution SLA is at risk.
- Incident affects multiple systems.
- Significant backlog develops.
- Resource shortages occur.
- Repeated failures are identified.

10. EXECUTIVE ESCALATION CONDITIONS

Executive escalation is mandatory when:

- Revenue impact exceeds approved thresholds.
- Media attention is possible.
- Regulatory authorities are involved.
- Data breaches occur.
- More than 10% of customers are affected.
- Critical services remain unavailable beyond defined limits.

11. REFUND ESCALATION TRIGGERS

Automatic escalation shall occur when:

- Refund exceeds approval authority limits.
- Refund remains unresolved for 48 hours.

- Multiple refund requests originate from one account.
- Fraud indicators are detected.
- Chargeback risk is identified.

12. DELIVERY ESCALATION TRIGGERS

Delivery incidents shall be escalated when:

- Delivery exceeds SLA by 3 days.
- Shipment is lost.
- Multiple delivery attempts fail.
- Carrier confirms operational disruption.
- High-value shipment is delayed.

13. AUTOMATED TICKET CREATION RULES

The incident management platform shall automatically generate tickets when:

- SLA breaches occur.
- Refund delays exceed thresholds.
- Payment failures are detected.
- Carrier disruptions are reported.
- Critical monitoring alerts are triggered.
- Customer complaints reach escalation criteria.

Required Ticket Fields:

- Incident ID
- Order ID
- Customer ID
- Severity
- Assigned Owner
- Creation Timestamp
- Resolution Target

14. NOTIFICATION PROCEDURES

Internal Notifications

Must include:

- Incident summary
- Severity level
- Current impact
- Assigned owner
- Resolution timeline

Customer Notifications

Must include:

- Issue description
- Impact explanation
- Expected resolution timeline
- Contact information

Executive Notifications

Must include:

- Business impact
- Financial exposure
- Customer impact
- Risk assessment
- Mitigation plan

15. SLA TARGETS BY SEVERITY

Severity	Response Time	Resolution Target
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P1 Critical	15 Minutes	4 Hours
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P2 High	30 Minutes	8 Hours
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Severity	Response Time	Resolution Target
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P3 Medium	4 Hours	24 Hours
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P4 Low	1 Business Day	5 Business Days
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16. INCIDENT RESPONSE PROCESS

Step 1 – Detection

Incident identified via:

- Monitoring systems
- Customer reports
- Internal teams
- Automated alerts

Step 2 – Classification

Assign:

- Category
- Severity
- Owner

Step 3 – Containment

Immediate actions to limit impact.

Step 4 – Resolution

Implement corrective actions.

Step 5 – Validation

Confirm service restoration.

Step 6 – Closure

Document outcomes and close incident.

17. ROOT CAUSE ANALYSIS (RCA)

RCA is mandatory for:

- All P1 incidents
- All P2 incidents
- Repeated incidents
- Compliance-related incidents

RCA must identify:

- Root cause
- Contributing factors
- Timeline of events
- Detection gaps
- Preventive actions

Completion Target:

- Within 5 business days.

18. POST-INCIDENT REVIEW REQUIREMENTS

Postmortems shall include:

- Executive summary
- Incident timeline
- Impact assessment
- Resolution actions
- Lessons learned
- Improvement recommendations

Required for:

- P1 incidents
- Significant P2 incidents

19. AUDIT & COMPLIANCE REQUIREMENTS

The organization shall maintain:

- Incident records
- Escalation records
- Communication records
- RCA documentation
- Approval records

Retention Period:

- Minimum 7 years

Audit reviews shall occur quarterly.

20. REPORTING REQUIREMENTS

Daily Reports

- Open incidents
- Escalated incidents
- SLA breaches

Weekly Reports

- Incident trends
- Root causes
- Resolution performance

Monthly Reports

- Executive dashboards
- Incident volume analysis
- Customer impact metrics
- Compliance reviews

21. KEY PERFORMANCE INDICATORS (KPIs)

The following metrics shall be monitored:

- Mean Time to Detect (MTTD)
- Mean Time to Respond (MTTR)
- Mean Time to Resolve
- Escalation Rate
- SLA Compliance Rate
- Incident Recurrence Rate
- Customer Impact Score
- Refund Escalation Volume
- Delivery Escalation Volume

22. GOVERNANCE

The Incident Governance Committee shall oversee:

- Incident management effectiveness
- Escalation compliance
- Policy updates
- Risk management
- Continuous improvement initiatives

Committee meetings shall occur monthly.

23. TRAINING REQUIREMENTS

All operational personnel shall receive:

- Annual incident management training
- Escalation process training
- Compliance awareness training
- Crisis management training (where applicable)

Training records shall be maintained for audit purposes.

24. CONTINUOUS IMPROVEMENT

The organization shall:

- Review incident trends quarterly.
- Update escalation procedures as needed.
- Improve monitoring capabilities.
- Implement preventive controls.
- Track corrective action effectiveness.